



2.0%

Canada Housing Real
CAGR (from 1990)

3.9%

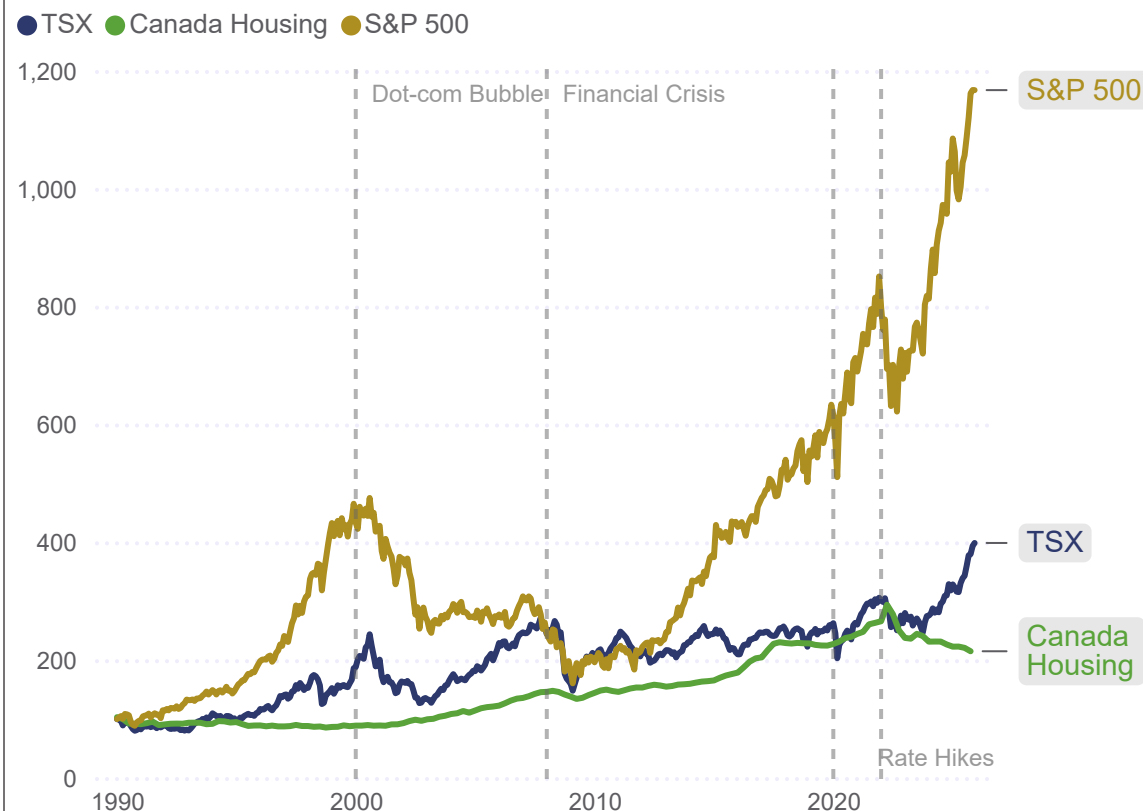
TSX Real CAGR (from
1990)

7.1%

S&P 500 Real CAGR
(from 1990)

Long-Term Real Growth of Canadian Housing and Equity Markets (1990–2025)

Inflation-Adjusted Indexed Growth (1990.01 = 100)

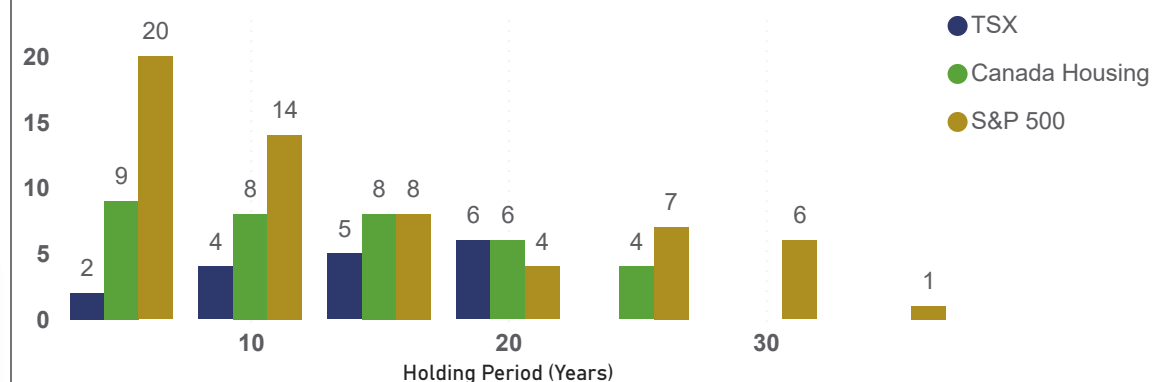


key insights: Over 35 years, U.S. equities delivered the strongest real growth, while Canadian housing was more stable but produced lower price appreciation. However, housing returns also depend on leverage, shelter value, and ownership costs.

Best-Performing Asset by Entry Period and Holding Horizon

start year	5	10	15	20	25	30	35
1990	S&P 500	S&P 500	S&P 500	TSX	S&P 500	S&P 500	S&P 500
1995	S&P 500	TSX	TSX	TSX	S&P 500	S&P 500	
2000	Canada Housing	Canada Housing	Canada Housing	Canada Housing	Canada Housing		
2005	Canada Housing	Canada Housing	S&P 500	S&P 500			
2010	S&P 500	S&P 500	S&P 500				
2015	S&P 500	S&P 500					
2020	S&P 500						

Number of Winning Scenarios by Asset and Holding Period



Sources: BIS RPPS, Yahoo Finance, FRED, Statistics Canada; author calculations.
Note: Equity series reflect index price performance and do not include reinvested dividends; housing reflects price appreciation only and excludes



2.87%

Canada Housing Real CAGR (from 2005)

3.84%

TSX Real CAGR (from 2005)

7.22%

S&P 500 Real CAGR (from 2005)

4.14%

Vancouver

3.34%

Montreal

3.17%

Toronto

2.59%

Ottawa

2.48%

Calgary

2.14%

Edmonton

Selected City

Vancouver

Regional Housing Market Structures in Canada (2005–2025)

Inflation-Adjusted Indexed Growth (2005.01 = 100)



Regional Housing Competitiveness Across Investment Horizons

start year	5	10	15	20
2005	Edmonton	Edmonton	S&P 500	S&P 500
2006	Edmonton	Edmonton	S&P 500	
2007	Ottawa	Toronto	Toronto	
2008	Ottawa	S&P 500	S&P 500	
2009	S&P 500	S&P 500	S&P 500	
2010	S&P 500	S&P 500	S&P 500	
2011	S&P 500	S&P 500		
2012	S&P 500	S&P 500		
2013	S&P 500	S&P 500		
2014	S&P 500	S&P 500		
2015	S&P 500	S&P 500		
2016	S&P 500			
2017	Vancouver			
2018	Vancouver			
2019	S&P 500			
2020	S&P 500			

key insights:

Since 2005, regional dispersion has been wide — Vancouver's 4.14% real CAGR is nearly double Edmonton's 2.14% — yet only Vancouver outpaced the TSX, and no city came close to the S&P 500's 7.22%. Canadian housing's wins were front-loaded and short-lived: Edmonton, Ottawa, and Toronto led 5-to-10-year holds entered in 2005–2008, and Vancouver again in 2017–2018, but U.S. equities took almost every horizon of 15 years or more.

Sources: CREA MLS® Home Price Index, Yahoo Finance, Statistics Canada; author calculations.

Rent-Invest vs Buy

Owner

Initial capital used for
down payment + purchase cost

Buy house

Mortgage loan

Mortgage payment

Mortgage
principal
(builds equity)

Mortgage
interest
(unrecoverable)

Property tax

Maintenance

Insurance

Unrecoverable Ownership Cost
(unrecoverable cash outflow)

Owner total cash outflow
(monthly cash requirement)

House market value

Estimated sale cost

Owner Net Worth
House market value - mortgage balance -
estimated sale cost

Same Starting Resources

- Initial capital: down payment + purchase cost
- Same monthly housing-budget framework

Renter-Investor

Initial capital kept for investing
Equivalent to down payment + purchase cost

Pay rent

Moving cost
(if any)

Invest in
stock portfolio

Renter
Unrecoverable Cost
(cash outflow)

Renter total
cash outflow
(monthly)

Investment portfolio

Net portfolio
growth

Monthly savings difference
Owner total cash outflow - renter total cash outflow

Monthly portfolio
contribution / withdrawal

Renter-Investor Net Worth
- Investment Portfolio Value
Initial capital + monthly contributions/withdrawals
+ net portfolio returns

Project comparison goal: compare
Owner Net Worth vs Renter-Investor Net Worth over time



\$1.52K

Owner Avg. Monthly
Outflow

\$903

Renter Avg. Monthly
Outflow

1.66%

Owner Cash Outflow
CAGR

3.21%

Renter Cash Outflow
CAGR

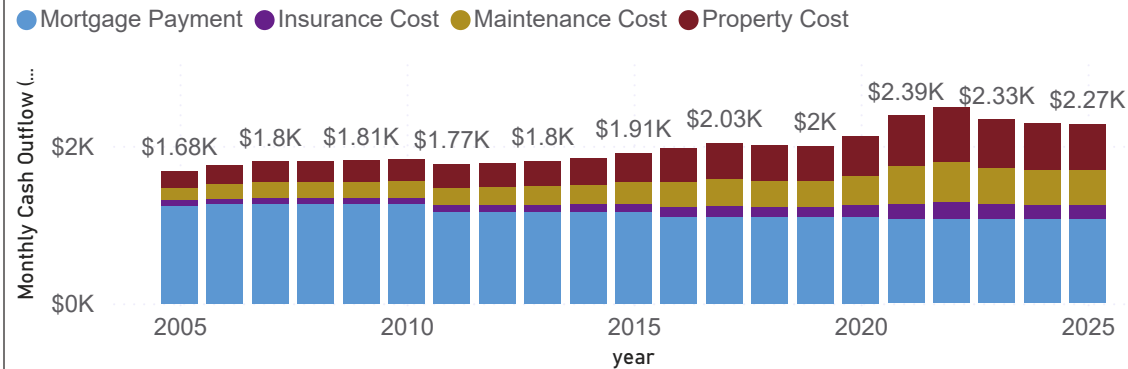
372.66K

Owner Final Real NW

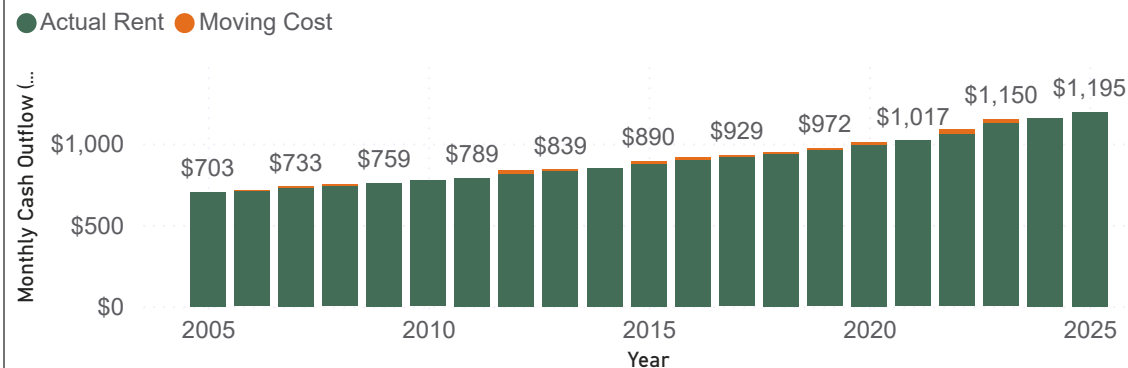
441.74K

Renter Final Real NW

Owner Monthly Cash Outflow by Cost Component



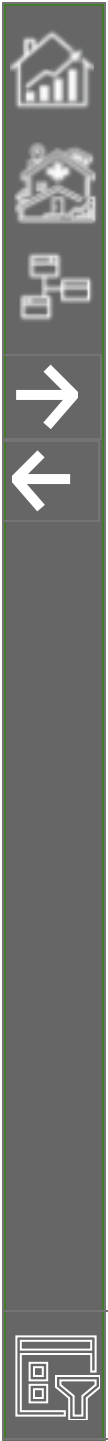
Renter Monthly Cash Outflow by Cost Component



Inflation-Adjusted Net Worth: Owner vs. Renter-Investor



key insights: Owner monthly cash outflow averaged about 68% higher than renter cash outflow (\$1.52K vs. \$903). Owner outflows grew at only 1.66% annually, while renter outflows increased at 3.21%, reflecting faster rent growth over the period. Housing appreciation and mortgage leverage put the owner ahead for much of the middle of the simulation, with real net worth peaking near \$0.5M around the 2022 housing market high. The subsequent housing correction narrowed and eventually reversed that advantage. Supported by an average monthly cash-flow advantage of roughly \$620 and continued portfolio compounding, the renter-investor finished at \$441.7K in real net worth versus \$372.7K for the owner.



city ▼
Calgary ▼

\$1.31K
Owner Avg.
Monthly Outflow

\$1.19K
Renter Avg.
Monthly Outflow

1.52%
Owner Cash
Outflow CAGR

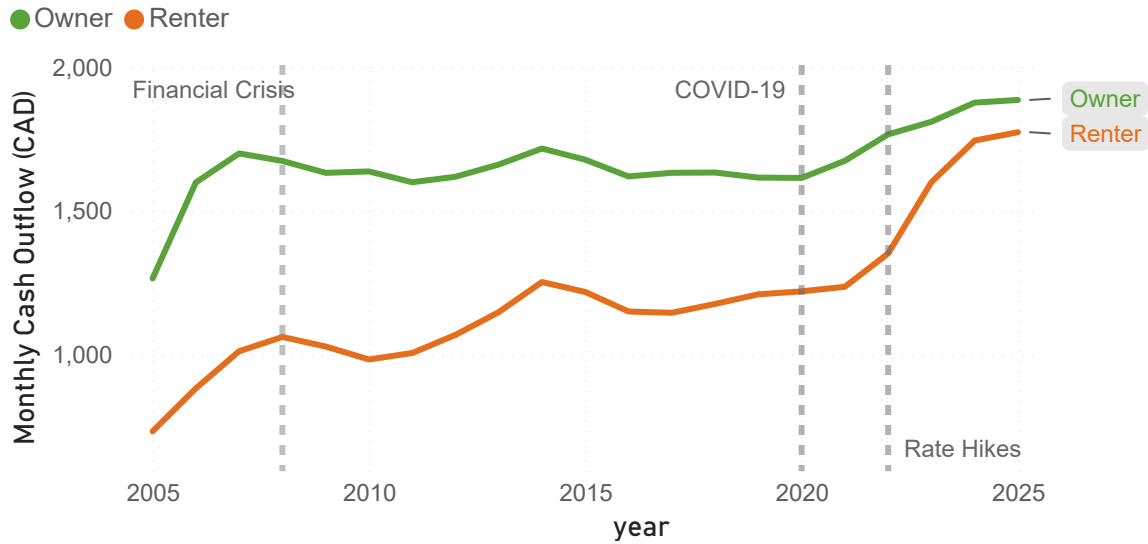
4.52%
Renter Cash
Outflow CAGR

**Owner
Winner**

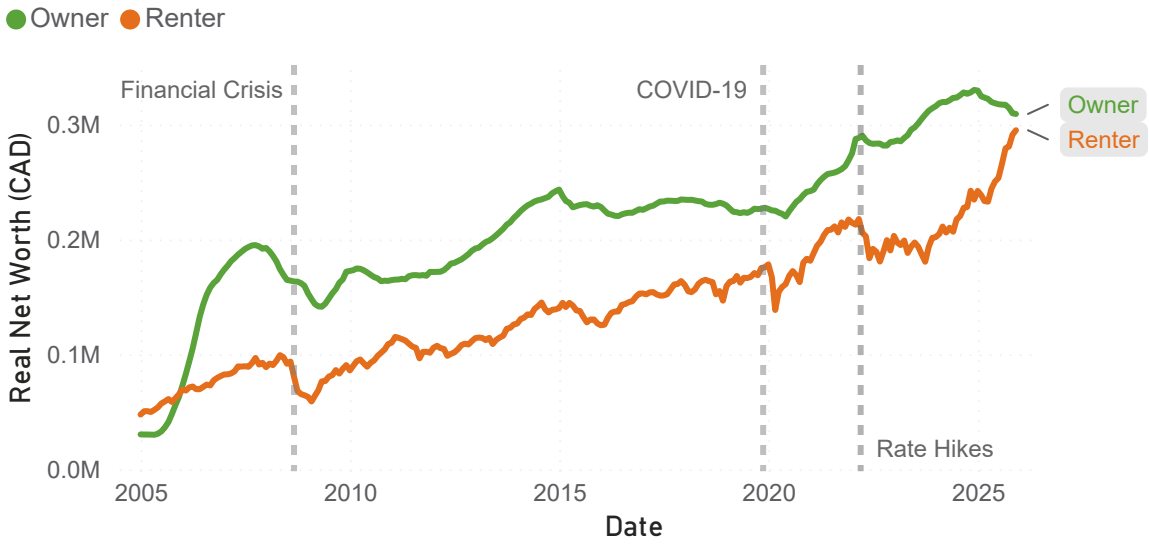
\$309K
Owner Final Real ...

\$295K
Renter Final Real ...

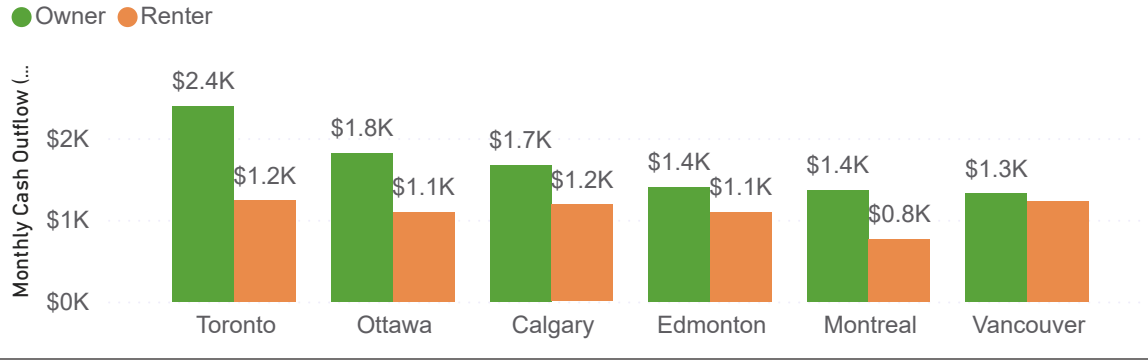
Average Monthly Cash Outflow: Owner vs. Renter-Investor



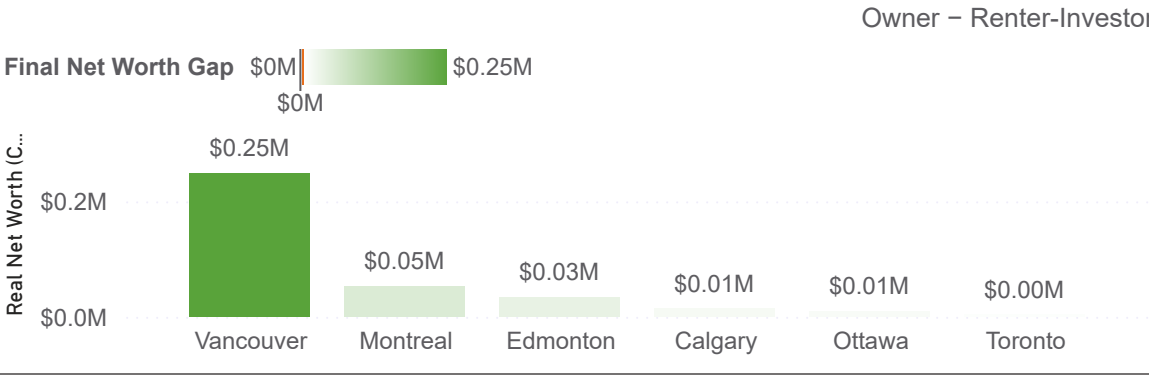
Inflation-Adjusted Net Worth: Owner vs. Renter-Investor



Average Monthly Cash Outflow by City: Owner vs Renter-Investor



Average Final Inflation-Adjusted Net Worth Gap by City





city

▼

Toronto

Purchase Year

▼

2005

holding_years

▼

20

\$536K

Owner Final Real NW

\$532K

Renter Final Real NW

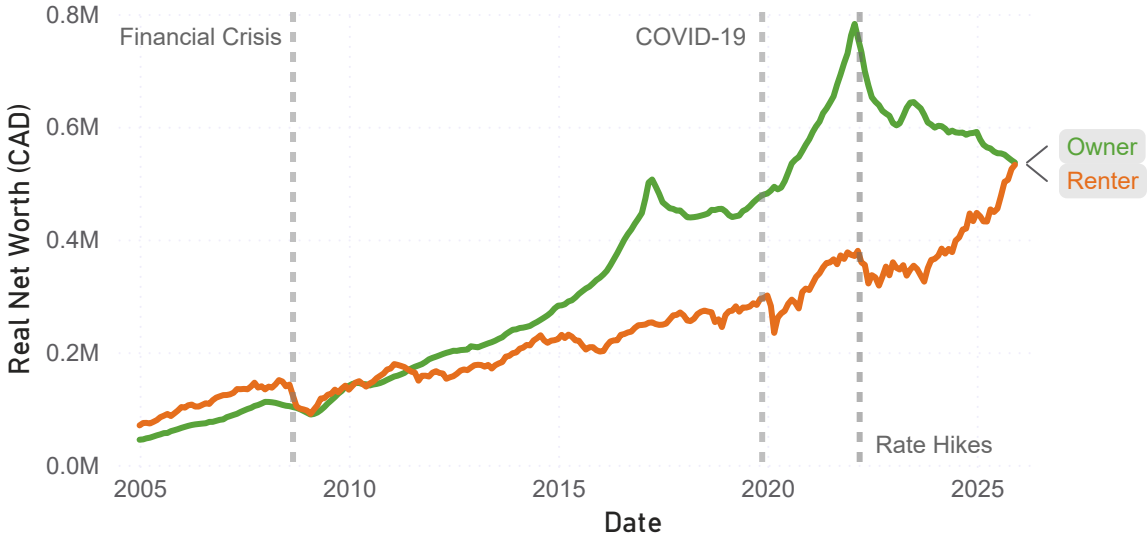
Owner

Winner

Cash Outflow

Net Worth

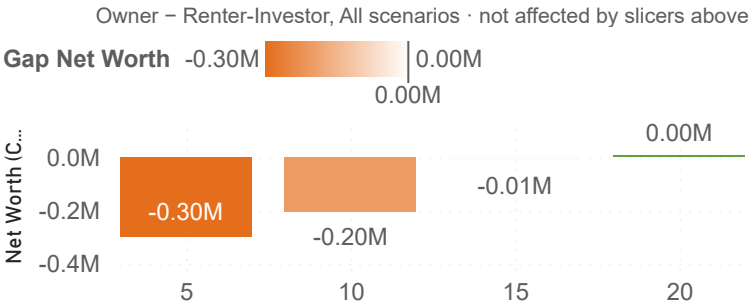
Inflation-Adjusted Net Worth: Owner vs. Renter-Investor



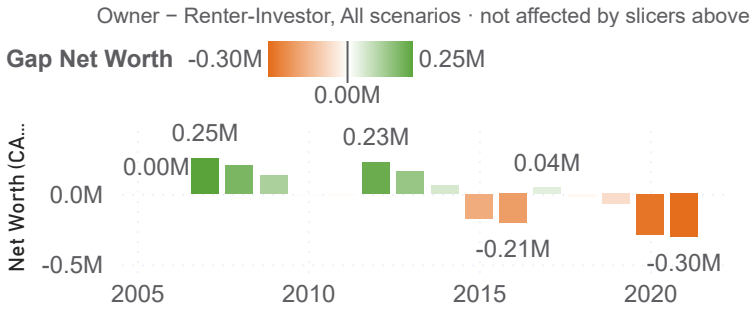
Final Inflation-Adjusted Net Worth Gap by Purchase Year And Holding Period

Purchase Year	5	10	15	20
2005	-\$15,082	\$128,504	\$259,930	\$3,889
2006	\$28,010	\$194,486	\$358,108	\$2,856
2007	-\$2,626	\$148,315	\$251,843	
2008	\$2,678	\$175,248	\$200,587	
2009	\$24,488	\$156,489	\$128,025	
2010	\$103,395	\$248,443	-\$4,597	
2011	\$135,421	\$314,170	-\$9,338	
2012	\$121,076	\$226,367		
2013	\$124,094	\$156,505		
2014	\$82,824	\$62,291		
2015	\$94,506	-\$175,455		
2016	\$123,935	-\$206,372		
2017	\$43,806			
2018	-\$17,301			
2019	-\$73,292			
2020	-\$324,107			
2021	-\$342,571			

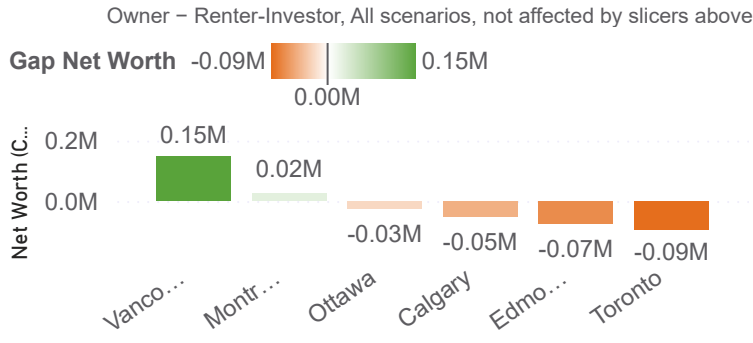
Average Final Inflation-Adjusted Net Worth Gap by Holding Period



Average Final Inflation-Adjusted Net Worth Gap by Purchase Year



Average Final Inflation-Adjusted Net Worth Gap by City





city

▼

Calgary

▼

Purchase Year

▼

2005

▼

holding_years

▼

20

▼

\$309K

Owner Final Real NW

\$647K

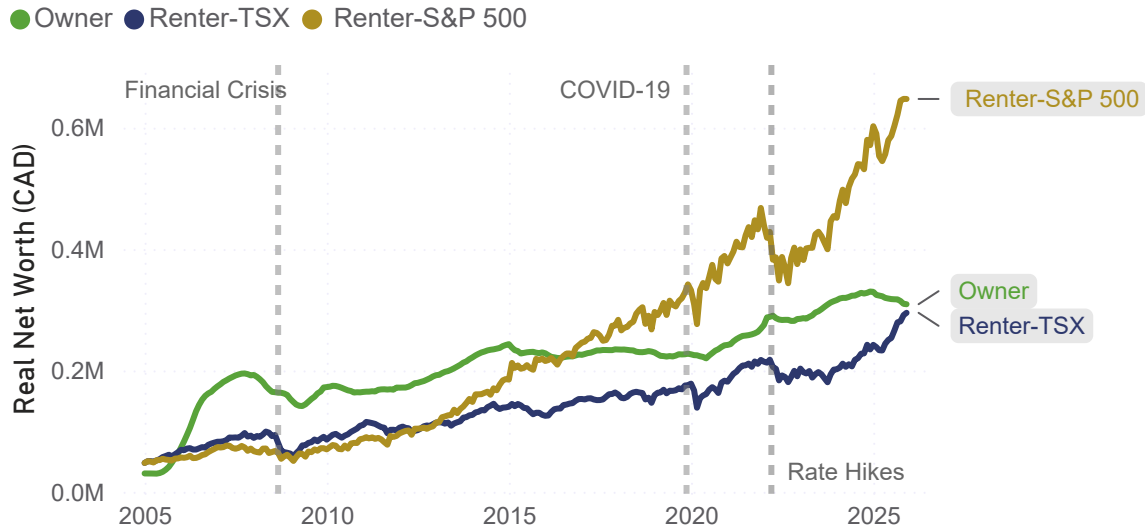
Renter Final Real NW-S&P 500

\$295K

Final Renter Net Worth Real - TSX



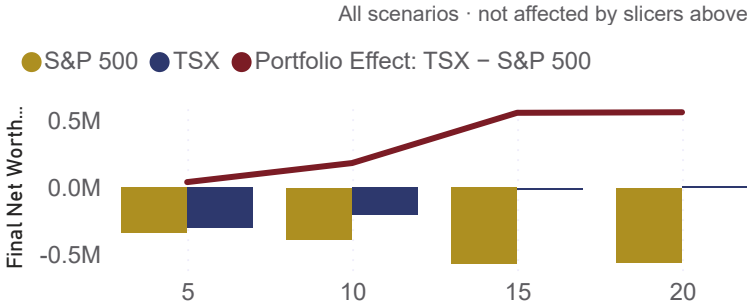
Inflation-Adjusted Net Worth: Owner vs. Renter-Investor



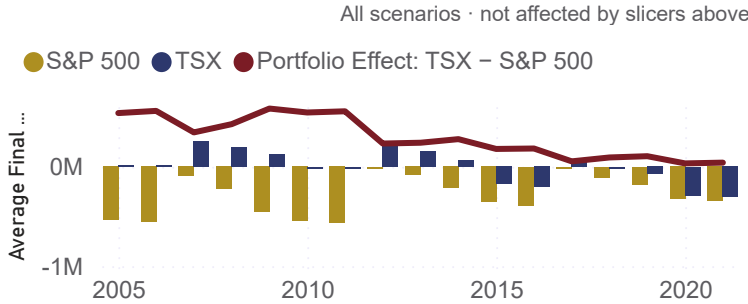
Final Inflation-Adjusted Net Worth Gap by Purchase Year And Holding Period

Holding Period	5		10		15		20	
Purchase Year	TSX	S&P 500	TSX	S&P 500	TSX	S&P 500	TSX	S&P 500
2005	\$33,432	\$55,529	\$86,856	-\$5,455	\$46,578	-\$157,143	\$14,154	-\$338,1
2006	-\$69,010	-\$61,025	-\$81,962	-\$222,907	-\$124,730	-\$518,307	-\$43,357	-\$471,8
2007	-\$98,561	-\$112,905	-\$128,949	-\$344,647	-\$103,660	-\$452,079		
2008	-\$67,950	-\$112,521	-\$75,363	-\$267,270	-\$68,101	-\$469,519		
2009	-\$18,759	-\$103,734	-\$79,117	-\$329,720	-\$48,285	-\$547,413		
2010	\$11,413	-\$109,387	-\$39,959	-\$297,272	-\$84,460	-\$524,619		
2011	-\$33,929	-\$132,805	-\$60,344	-\$338,280	-\$84,317	-\$531,087		
2012	-\$44,023	-\$143,370	-\$19,669	-\$195,349				
2013	-\$57,955	-\$125,925	-\$29,871	-\$208,069				
2014	-\$110,055	-\$184,973	-\$61,179	-\$263,246				
2015	-\$88,332	-\$142,511	-\$119,573	-\$230,645				
2016	-\$52,636	-\$120,398	-\$114,210	-\$226,872				
2017	-\$9,878	-\$38,547						
2018	\$11,151	-\$35,338						
2019	\$40,426	-\$8,097						
2020	-\$12,723	-\$26,701						

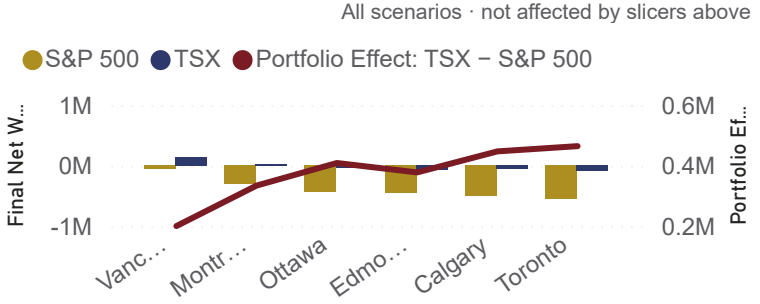
Average Final Inflation-Adjusted Net Worth Gap by Holding Years and Portfolio

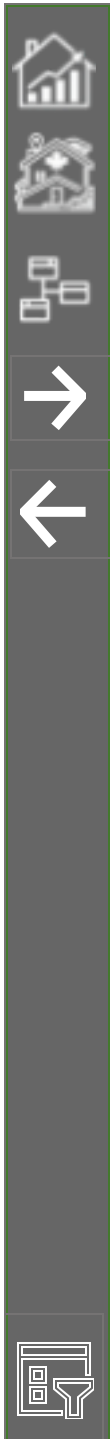


Average Final Inflation-Adjusted Net Worth Gap by Purchase Year and Portfolio



Average Final Inflation-Adjusted Net Worth Gap by City and Portfolio





city

Purchase Year

holding_years

Calgary

2005

20

\$309K

Owner Final Real NW-Base Rate

\$303K

Owner Final Real NW-Base + 2pp

\$295K

Renter Final Real NW-Base Rate

\$371K

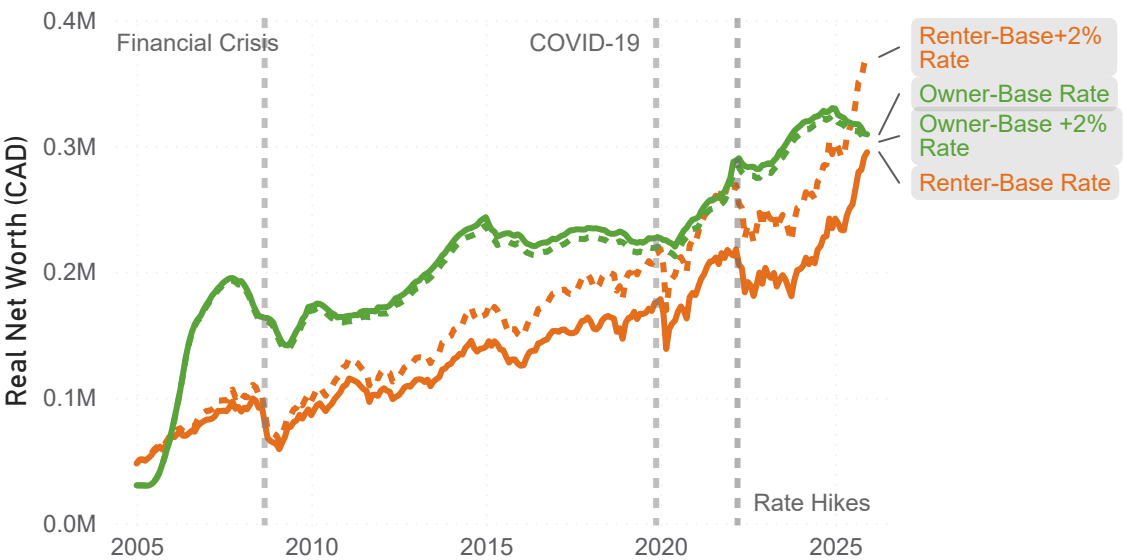
Renter Final Real NW-Base + 2pp

Owner Mortgage Payment

cash outflow

Net Worth

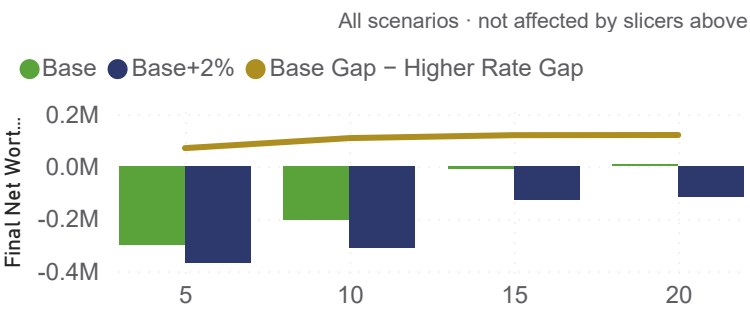
Mortgage Rate Impact on Inflation-Adjusted Net Worth: Owner vs. Renter-Investor



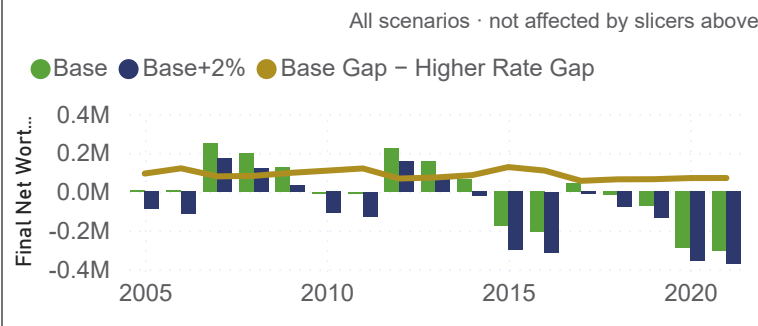
Final Inflation-Adjusted Net Worth Gap by Purchase Year And Holding Years

Holding Period	5		10		15		20	
Purchase Year	Base	Base+2pp	Base	Base+2pp	Base	Base+2pp	Base	Base+2
2005	\$33,432	\$14,333	\$86,856	\$51,455	\$46,578	-\$8,197	\$14,154	-\$67,3
2006	-\$69,010	-\$95,974	-\$81,962	-\$131,546	-\$124,730	-\$208,076	-\$43,357	-\$137,8
2007	-\$98,561	-\$127,120	-\$128,949	-\$187,085	-\$103,660	-\$182,745		
2008	-\$67,950	-\$96,461	-\$75,363	-\$127,696	-\$68,101	-\$141,837		
2009	-\$18,759	-\$49,134	-\$79,117	-\$134,557	-\$48,285	-\$128,209		
2010	\$11,413	-\$12,595	-\$39,959	-\$94,108	-\$84,460	-\$170,675		
2011	-\$33,929	-\$61,396	-\$60,344	-\$121,940	-\$84,317	-\$175,612		
2012	-\$44,023	-\$77,218	-\$19,669	-\$74,425				
2013	-\$57,955	-\$88,436	-\$29,871	-\$90,490				
2014	-\$110,055	-\$141,038	-\$61,179	-\$128,032				
2015	-\$88,332	-\$124,056	-\$119,573	-\$198,428				
2016	-\$52,636	-\$87,622	-\$114,210	-\$188,444				
2017	-\$9,878	-\$40,647						
2018	\$11,151	-\$18,133						
2019	\$40,426	\$9,475						
2020	-\$12,723	-\$46,341						
2021	-\$9,539	-\$50,323						

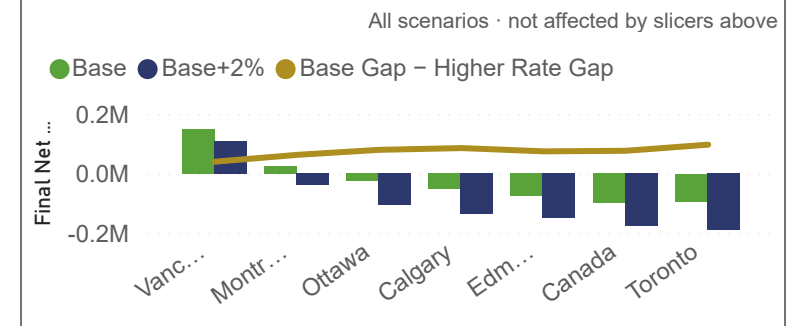
Final Inflation-Adjusted Net Worth Gap (Owner-Renter) by Holding Years and Mortgage Rate



Final Inflation-Adjusted Net Worth Gap (Owner- Renter) by Purchase Year and Mortgage Rate



Final Inflation-Adjusted Net Worth Gap (Owner- Renter) by City and Mortgage Rate





city

Calgary

Purchase Year

2005

holding_years

20

portfolio_name

TSX

Mortgage Rate Adjustment

1.00

1.00

Mortgage Rate Adjustment (pp)

309.13K

Owner NW - Base Rate

306.18K

Owner NW - What If

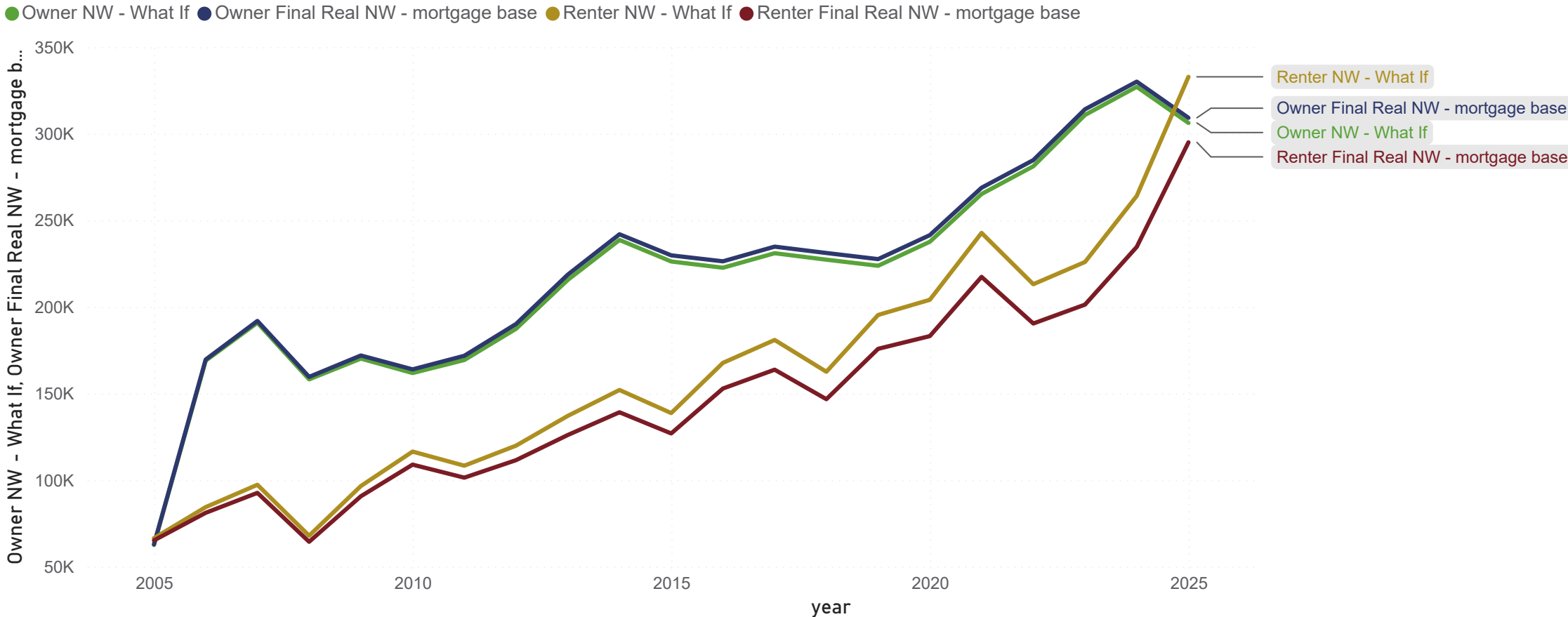
294.98K

Renter NW - Base Rate

332.80K

Renter NW - What If

Real Net Worth: Base vs. What-If Mortgage Rate





city



Purchase Year



Calgary



2005

**81.54K**

Mortgage Rate Sensitivity

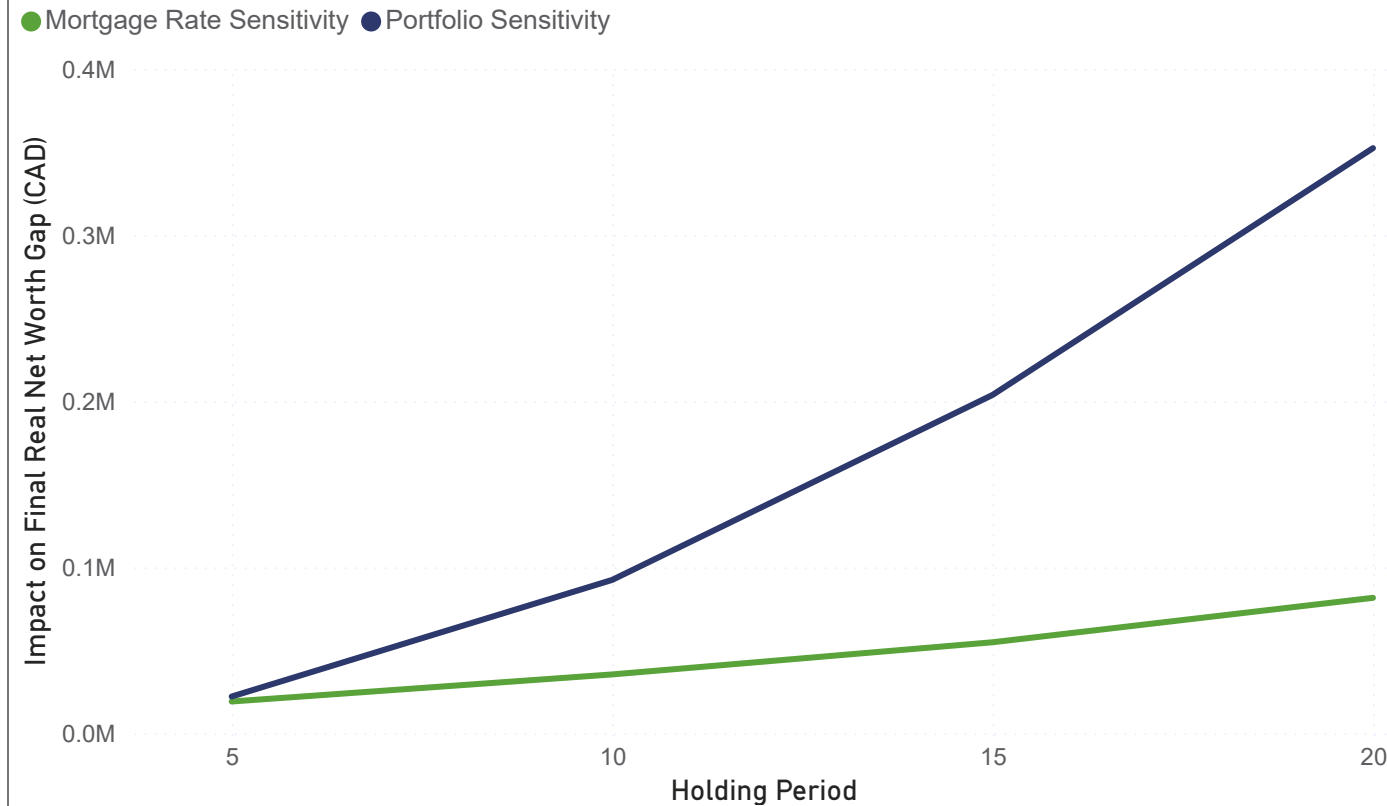
352.34K

Portfolio Sensitivity

4.32

Portfolio vs Mortgage S...

Mortgage Rate vs Portfolio Sensitivity by Holding Period



Mortgage sensitivity: Base vs Base +2pp | Portfolio sensitivity: TSX vs S&P 500

Across a 20-year hold in Calgary, switching the renter's portfolio from TSX to the S&P 500 moved final real net worth by \$352K, while a 2-percentage-point mortgage-rate shock moved it by \$82K — a ratio of 4.3 to 1. The gap widens with time: at 5 years the two forces are comparable, but portfolio choice compounds while financing cost does not.